COUNTRY REPORTS: KENYA

NEWS · MATURITY · FINANCE · ONLINE HOSTING

Status report

GOVERNANCE · FINANCE · ICT INFRASTRUCTURE · DPI · DIGITALISATION · TECHNOLOGY · CAPACITY · INCLUSION · DATA · GEOPOLITICS

Governance

Strategies, plans and policies

Kenya's National AI Strategy 2025–2030, costed at KSh 152bn over five years, entered its second year with no dedicated allocation in the 2026/27 national budget, the KSh 8.6bn ICT vote going to broadband expansion, digital skills and government digitisation instead.

The instrument meant to govern the technology is still a draft. The Ministry of ICT and Digital Development opened public participation on the Kenya Artificial Intelligence and Other Emerging Technologies Policy on 21 July 2026, with submissions due by 4 August; the draft was still open for public participation in August 2026. The draft asserts effects-based extraterritorial jurisdiction over any entity outside Kenya whose AI outputs are used in the country or have direct and foreseeable effects there, yet is silent on penalties, and commits to risk-tiering systems and a central register of high-risk ones without defining "high risk" anywhere in the document. Delivery would sit with a Steering Committee and a National AI Council, an executive framework running alongside the Senate's separate Artificial Intelligence Bill, 2026, read a first time on 2 April 2026, which the Senate's ICT committee, after 143 submissions, recommended in September 2026 that the Senate not proceed with until a national AI policy is published. A submission into the consultation argues the draft gives the sponsoring ministry an equity stake in the ventures it supports, making one body investor, regulator and procurer of the same market. A second draft, the State Department for Science, Research and Innovation's National AI Policy for Science, Research and Innovation, was opened for public comment until 14 October 2026.

On hosting, ownership is clearer than execution. The Kenya Cloud Policy entered into force on 2 May 2025 on publication in the Kenya Gazette, carrying interoperability requirements, but the committee that is to accredit the providers eligible to host state data has not been constituted and the list of eligible providers is unpublished. Beneath the newer documents the older stack is ageing: the 2019 National ICT Policy Guidelines remain the governing ICT policy, the Digital Master Plan runs to 2032, the National Broadband Strategy's own period ended in 2023, and the DPI roadmap launched at an inaugural inter-ministerial steering committee was still being developed in September 2025.

Legislation and regulation

Kenya's virtual-asset market became a licensed market on 22 July 2026, when the Virtual Asset Service Providers Regulations were gazetted as Legal Notice No. 134, and every operator already trading has until 4 November 2026 to hold a licence. Minimum capital under the regulations (2026) is set by licence class rather than across the sector — KES 300m for stablecoin issuance, KES 150m for a wallet provider, KES 100m for an exchange and nil for an investment adviser — and the one-third ownership cap the draft had carried is absent from the gazetted text, which instead requires notification below a 10% shareholding and approval above it. Payments law is in draft: the National

Payment System Bill, 2026, published for comment on 21 September 2026, would repeal the National Payment System Act, license payment providers and system operators by category with minimum capital from KES 5m for an account information provider to KES 250m for an electronic money issuer, and oblige interoperability and consent-based open-finance data sharing.

The telecommunications market structure is being relicensed category by category: Gazette Notice 12180 of 7 August 2026 sets licence conditions for a Public Communications Access Centre and a Communications Equipment Vendor, effective 30 days from the notice, and a second notice on the same page covers five further categories, including Network Facilities Provider Tier 2 and Tier 3, Landing Rights Authorization and International Gateway Systems and Services. Under the access-centre conditions, from 7 September 2026 every cyber café must record each customer's name and identity number, the terminal used and the session times, keep the record for three years, and run content-filtering software that scans traffic in real time, on pain of a fine of 0.2% of annual turnover floored at KSh 500,000, about US$3,860, and possible suspension or closure. The final rules dropped the mandatory CCTV and full browsing-history retention a December 2024 draft had proposed, and the regulator confirmed on 13 August 2026 that operators need not track customers' browsing history.

Nothing binds on artificial intelligence: the AI legislation, the AI and emerging technologies policy and the data governance policy were all still drafts on 30 July 2026, and amendments to the Computer Misuse and Cybercrimes Act were still only proposals in August 2026 after the Court of Appeal struck down that Act's false-publication offences as unconstitutional. Where law does exist it is sometimes incomplete on its face: the Digital Health (Data Exchange Component) Regulations 2025 create a service fee for users of the exchange and make non-payment a ground for action, then publish a Third Schedule that is a heading reading "FEES" with no figures under it. And a duty can be removed as quietly as it was added: a Bill sponsored jointly by the Senate majority and minority leaders would delete section 39(1G) of the Elections Act, the commission's statutory duty to livestream polling-station results, while leaving section 44's integrated registration, identification and transmission system untouched. Regulations for non-deposit-taking credit providers, gazetted on 29 September 2026, revoke the 2022 digital credit rules and require separate consent for personal data and human review of AI lending decisions.

Data protection

The High Court found sufficient evidence of a systemic compromise of subscriber data at a telecommunications operator, held that eleven subscribers' constitutional rights had been violated and awarded each of them KES 900,000 on 13 May 2026. The regulator that then acted was not the data regulator: by 3 August 2026 the Gambling Regulatory Authority had confirmed it was investigating licensed betting operators named in a complaint as recipients of the compromised data, which the court said included financial transaction data, betting activity, device identifiers and geolocation.

The Data Protection Act 2019 establishes the Office of the Data Protection Commissioner as an independent regulator, whose casework is wide and whose sanctions are narrow: by March 2025 it had received 7,128 complaints and resolved 97% of them, issuing 215 determinations and imposing penalties on ten entities, with cumulative administrative fines above KES 26m between 2022 and 2024. The Public Service Commission shortlisted 13 of 152 applicants to succeed the inaugural commissioner at the end of her six-year term, with interviews set for 5 October 2026. Compliance reporting exists internally and is not published. The ICT Cabinet Secretary threatened 185 betting and gaming firms holding children's data with shutdown in May 2026 for failing to register, and the Communications Authority is doing data-protection casework of its own, logging 19 data-breach complaints in April–June 2026.

Under the ODPC's Guidance Notes for Cross-border Data Transfers, published in September 2026, personal data processed for the "strategic interest of the state" — identity, elections, public finance, protected computer systems, education and healthcare — must be processed through a server and data centre in Kenya or have at least one

serving copy stored there; the notes annex standard clauses for controller-to-controller and controller-to-processor transfers and an application form for approval of binding corporate rules. Separately, controllers must notify the ODPC within 72 hours of becoming aware of a notifiable breach, processors their controllers within 48. On 3 August 2026 the ODPC put draft guidance on artificial intelligence, emerging technologies and privacy-enhancing technologies out for comment, requiring a documented adequacy assessment and a lawful transfer basis before personal data leaves the country for AI processing, and keeping accountability with the deploying entity in Kenya. Court oversight is live: a High Court injunction of 19 December 2025 froze the US–Kenya health framework, a suspension of its data-transfer component was reversed on appeal, the case continuing, and the Court of Appeal lifted the order in May 2026, with a final ruling due at the end of October. A digital lender must hold the data-protection regulator's compliance certificate before the central bank will license it, under a memorandum between the two bodies that the deputy data commissioner described in September 2026. The regulator told a parliamentary committee that deactivation and recycling of inactive numbers now run under its 2026 procedures and safeguards.

Regional collaboration

The regional data rules Kenya would trade under bind nothing yet: East African Community rules on cross-border data flows and personal data protection, newly approved in July 2026, must still go to the bloc's decision-making organs before partner states can adopt them, while the regional data-sharing framework behind them only went to a validation workshop in Dar es Salaam in June 2026.

Monetary convergence is in the same condition. The 29th EAC Monetary Affairs Committee held the target date for a single currency at 2031 on 24 July 2026 while minuting that no partner state, Kenya included, had attained all four primary macroeconomic convergence criteria, the agreed remedy being a peer review mechanism for macroeconomic surveillance rather than any change to the target; operational frameworks for the bloc's 2026/27–2030/31 development strategy are still being developed.

The continental instrument is not among them. Kenya has neither signed nor ratified the African Union's Malabo Convention on Cyber Security and Personal Data Protection, which entered into force in June 2023 and which twenty member states had ratified as at March 2026; the Cabinet approved a process step towards accession in September 2025 and the data protection commissioner led national consultations closing 6 October 2025, the Attorney-General having cleared the Convention before the process stalled twice on cabinet reshuffles. A high-level parliamentary dialogue on accession was called for 7 September 2026. Kenya signed the Digital Cooperation Organization's charter in New York as a signatory member, reported on 28 September 2026, pending completion of its accession to that body.

Where the estate does cross the border it does so through built systems rather than through instruments. Kenya has been selected for a pilot integrating digital public infrastructure into cross-border trade under the African Continental Free Trade Area, its wholesale settlement system connects to the East African Payment System and the COMESA regional arrangement, PesaLink joined the Pan-African Payment and Settlement System for local-currency transfers into Kenyan accounts and wallets in 2026, and Kenya, Rwanda and Uganda accept each other's national IDs as travel documents. Against that, regional integration is among Kenya's ten most deteriorated measures in the 2024 Ibrahim Index, down 14.1 points over 2014–2023 to 43.7 of 100 and 31st of 54 African states.

Standards

Kenya's newest instrument would duplicate a standards regulator it already has: the standards-setting mandate the draft AI policy gives a proposed Technology Council overlaps the existing mandate of the Kenya Bureau of Standards. Below that, shared standards exist but are unevenly applied — the government interoperability framework is in place yet only partially used, with its workings and data-sovereignty terms unpublished, while procurement runs through

an electronic system used across government to enforce technical standards. Sector rules are issued one at a time: the Communications Authority has published guidelines for the implementation and provision of VoIP services, and no direct-to-cell satellite service had been approved as at 4 August 2026. The Kenya Bureau of Standards is the country's ISO member body, participating in 129 technical committees and observing in 177 (October 2026), and its standards council approved the international standards on the governance of data and on measuring data quality as Kenya Standards in April 2020. For the public service's own staff, the ICT Authority set minimum ICT competences and certifications in a standard in force from July 2023.

Public debate and participation in policymaking

The space for online speech in Kenya has been widened by litigation rather than by legislation. A challenge to the 2025 amendment of the Computer Misuse and Cybercrimes Act struck out the coordination committee's power to shut websites without judicial oversight, along with a provision criminalising speech deemed to cause suicide; the Bloggers Association of Kenya's five-year Court of Appeal challenge struck down the same Act's false-publication sections; and a conservatory order blocks any national internet shutdown pending a full hearing. The widening is not final: the National Assembly has asked the Supreme Court to restore sections 22 and 23, which carried fines of up to KSh 5m and up to ten years' imprisonment, arguing they reach neither opinion, satire nor good-faith error but only knowing publication presented as authentic (August 2026). Running the other way, an Access to Information (Amendment) Bill would criminalise sharing classified information over personal WhatsApp or email, and disclosure of public records, one of Kenya's stronger measures continentally, has slipped over the decade to 2023.

Reporting the argument is riskier than making it. Media freedom is among Kenya's ten most deteriorated measures in the 2024 Ibrahim Index, down 16.8 points over 2014–2023 to 57.8 of 100 and 21st of 54 African states, and at the Ol Kalou by-election on 16 July 2026 masked men assaulted NTV, Nation and Star journalists and took their cameras while police stood by.

The public consultation on the AI and emerging technologies policy, opened by the ICT Cabinet Secretary, closed on 4 August 2026. On platform governance, a civil-society coalition on freedom of expression sat with the regulators at a July 2026 technical review of a proposed joint framework, and that review recommended mandated disclosure of algorithmic parameters and risk assessments, researcher access to platform data under privacy safeguards, and multilingual moderation benchmarks reaching beyond Swahili. An online citizen participation platform is in operation alongside a citizen feedback mechanism through which government responds, and a youth internet-governance ladder feeds a Youth Position Paper into the national delegation ahead of Kenya hosting the global Internet Governance Forum in December 2026. The civic side is externally funded and time-limited: a €1.3m EU grant ran from 2023 to 2026 to strengthen civil society as an independent actor of accountability, a €1.485m grant runs from 2024 to 2028 to bring young people in Kwale and Nairobi into digital policy design, and the EU-funded KenSafeSpace digital-rights coalition closed in July 2026 after 30 months.

Finance

Financial sustainability

Kenya's own money carries 86.7 per cent of the digital lines in the 2026/27 national budget as appropriated, KES 40.4 billion of KES 46.7 billion, against 88.8 per cent of KES 49.3 billion in the 2025/26 budget as revised and 66.2 per cent in 2024/25 as appropriated.

The loan money that remains is led by the Kenya Digital Economy Acceleration Project, at KES 4.2 billion in the 2026/27 development estimates, beside KES 500 million each for the last-mile county network and the Horn of Africa Gateway; the World Bank credit behind it closes in 2028. The 2024/25 estimates had carried KES 4.95 billion of foreign loan for the Konza data centre and smart-city facilities and KES 2.3 billion for the KAIST building; no Konza allocation was announced for 2026/27, and the data centre's expansion was given KES 175 million (2026/27).

Fees carry the front door. KES 3.53 billion of the KES 3.90 billion e-Citizen line in 2025/26 was fee income collected as appropriations-in-aid, and draft Treasury regulations would turn the platform's convenience fee into a statutory access fee paying for its operation and maintenance (August 2026). An amendment to the NG-CDF Act lets constituencies spend up to 3 per cent of their funds running ward digital hubs (August 2026).

Voted money and spending diverge line by line: in 2024/25 e-government services spent KES 2.41 billion and e-Citizen KES 2.60 billion, against KES 4.69 billion and KES 690 million voted.

Private capital is taking whole services on user charges. NTSA's smart driving-licence partnership with KCB and Pesa Print, approved by Cabinet in December 2025, runs 21 years on KES 42 billion of private debt and equity, recovered through a KES 3,000 licence charge and instant fines, though High Court conservatory orders of 12 March 2026 halted automated instant fines and the authority withdrew the system's launch notice on 27 March; and the revenue authority is replacing its government-owned electronic cargo seals with user-owned seals from 15 approved vendors from 26 October 2026.

MoUs and other agreements

The EU–Kenya Digital Partnership put KES 15.3 billion (about US$118 million, June 2026) behind Kenya's digital infrastructure, connectivity and innovation, agreed after talks between President Ruto and senior EU officials and approved rather than disbursing. Tether and the Nairobi Securities Exchange signed a memorandum of understanding on 28 July 2026 covering blockchain market infrastructure for tokenising and settling NSE securities, fractional access for local and diaspora investors, and an undertaking to assess US-dollar tether as a settlement layer where permitted; no commitment figure was disclosed. Nothing beyond those two is established as signed and binding as at August 2026: the health cooperation framework with the United States states an intention to fund health data systems rather than an obligation to, the EcoCloud–G42 memorandum of March 2024 for a geothermal-powered data centre is a memorandum of understanding only, and the widening technology track with South Korea carries no amount or instrument.

New investments

The largest single live public commitment to Kenya's digital estate is the World Bank's US$390 million Digital Economy Acceleration Project, running 2023–2028.

Seventy-three external commitments to Kenya's digital estate are on record, worth about US$2.5 billion on windows running from 2015 to 2033; 47 are active and 21 completed (2026). Concessional loans carry the most money, about US$1.1 billion across eight; grants are the commonest instrument, 29 worth about US$430 million, and 14 commercial loans account for a further US$233 million (2026). Private recipients take 32 commitments and public recipients 30, but public recipients take about two-thirds of the money (2026). Connectivity draws more money than any other part of the estate, 14 commitments worth about US$755 million, and the European Union appears more often than any other financier, eight times, ahead of USAID with seven (2026). No other active commitment exceeds US$200 million (2026).

Safaricom's M-PESA revenue rose 13.4% to KES 182.7bn in the year to 31 March 2026, 45.6% of its Kenyan service revenue, and its wealth-management assets under management more than doubled to KES 21.0bn, KES 18.7bn of it in the Ziidi products. Safaricom and the Nairobi Securities Exchange opened share and corporate-bond trading inside the M-Pesa app on 10 February 2026, under the oversight of the Capital Markets Authority. The Nigerian fintech Moniepoint entered the market in April 2026 by buying the CBK-licensed Sumac Microfinance Bank, and Airtel's data-centre arm Nxtra raised US$1 billion from Alpha Wave Global, Carlyle and Anchorage Capital in April 2026, a group-level raise rather than a Kenyan commitment.

Kenya takes all three of the IFC's first Catalytic First Loss Guarantee transactions in Africa — US$24.2 million of first-loss cover for local-currency lending by 4G Capital, Equity Bank Kenya and KCB Bank Kenya, backed by US$11 million from the IDA Private Sector Window (August 2026) — cover standing behind lending rather than money in the ground. Korea's development cooperation fund finances both a Digital Media City at Konza Technopolis and the second phase of Nairobi's intelligent transport system. Kenya's KSh 152 billion bet on AI, reported in March 2026, has no dedicated allocation in the 2026/27 national budget.

ICT Infrastructure

Connectivity

Kenya's networks now reach almost everyone and are used by about a third of the country. Mobile signal covered 98.0 per cent of the population in the year to 30 June 2025, with 4G at 97.9 per cent and 5G at 30.0 per cent, while the Communications Authority and the national statistics office found internet use of around 35 per cent in the 2023/24 housing survey. The headline of 88.0 million active mobile subscriptions at 30 June 2026 counts SIMs; 53.7 per cent of individuals owned a mobile telephone in 2024, and smartphones outnumbered feature phones by 52,262,565 to 27,420,856 at 30 June 2026.

The fixed market is small, growing fast and concentrated. Fixed internet subscriptions reached 2.84 million at 30 June 2026, up 32.4 per cent year on year, and fibre carried 1.57 million of them. Safaricom held 69.8 per cent of mobile subscriptions at 30 June 2026 and became the first provider to pass one million fixed broadband subscribers, with 1,024,950 and a 36.1 per cent share at 30 June 2026, so one company's failure is a national event. Starlink held 27,616 subscriptions and about 1 per cent of the fixed market at 30 June 2026, having entered the top ten fixed providers for the first time in the quarter to 31 March 2026 with 24,999. The shape of the rest is thin at both ends: DSL has fallen to 23 subscriptions, only 1,853 subscriptions are above 1 Gbps and most sit in the 2-10 and 10-30 Mbps tiers. Behind them, international bandwidth rose 18.5 per cent to 28,950 Gbps, and the Nairobi internet exchange, managed by the service providers' association TESPOK, has been active since February 2001. Two terrestrial routes inland start in Kenya: Liquid's Mombasa-Johannesburg route, launched in May 2023, and Google's Umoja route to Australia, announced in May 2024 on a path built with Liquid. The Communications Authority published a draft Satellite Frequency Licensing Framework for comment on 13 October 2026, making landing rights the prerequisite for satellite services and requiring operators to record every terminal and its location.

Ownership and money are moving with it. Axian Telecom completed its purchase of 99.63 per cent of Wananchi Group in November 2025, taking ownership of Zuku, the consumer fibre and IPTV operator. The largest external commitment to it is the World Bank's US$390 million Digital Economy Acceleration Project for 2023–2028. The standing national target is 100,000 kilometres of fibre, against which 37,000 kilometres had been installed by 2 September 2026, leaving 63,000 outstanding months before the 2027 deadline.

Connectivity draws more external money than any other part of the digital estate: 14 commitments worth about US$755 million (2026).

Data Storage

Kenya's flagship hyperscale build has stalled: the US$1 billion Microsoft–G42 data centre at Olkaria missed its May 2026 launch, President William Ruto saying in mid-2026 that its planned 1 GW draw, a third of the country's roughly 3 GW supply, would mean shutting off power to half the country, and talks broke down over the capacity the government was asked to commit to lease.

What the state itself runs is modest and full. Konza National Data Centre hosts 145 of Kenya's 451 government institutions and has served 189 customers since it was commercialised in 2021, drawing about 300 kW of IT load against 706 kW of certified capacity, and its 1,292 TB of storage was fully used as at April 2026. The expansion that would relieve it, targeting 280–300 racks and 1–2 MW, only closed to bids for a transaction adviser on 22 April 2026, and does not include dedicated AI infrastructure such as GPU clusters, which is to be handled separately. The estate's resilience half is in dispute rather than in service: the Auditor-General records that a High Court award of Kshs 4,099,636,848 made in December 2022 over Phase III of the National Disaster Recovery Site still stood at Kshs 4,091,619,712 outstanding on 30 June 2025, interest accruing at 12 per cent a year, with no settlement roadmap provided to the audit. The revenue authority described its own backups as fragmented in a 2025 tender, and the first supplementary budget for 2025/26 allocated KSh 2bn for a new data recovery site and an ICT centre upgrade at Konza.

Commercial capacity is well ahead. Nairobi carries a multi-operator market: Africa Data Centres runs a Tier III facility with 7.5 MW of available site capacity, and iXAfrica's 22.5 MW Nairobi facility is East Africa's largest publicly announced data centre by installed capacity until Airtel's 44 MW Nxtra build at Tatu City opens, a date that has already moved from the first quarter of 2027 to July 2027. Safaricom moved M-Pesa's core onto a cloud-native architecture hosted locally in Huawei Cloud in September 2025, and a run of sovereign-cloud launches has opened on iXAfrica's floor — Servernah in March 2026, Baobab's shilling-billed public cloud with no egress fees in May 2026, Tata Consultancy Services' platform, delivered with the integrator Sybyl for government agencies, regulated sectors and large enterprises and announced live in September 2026 with its terms, capacity and pricing undisclosed — and Oracle was still preparing its Nairobi region there in September 2026, announced as Kenya's first public cloud region.

Foreign hyperscaler presence remains thin, AWS running a Local Zone in Nairobi parented to the Cape Town region rather than a region of its own. Under the government's cloud policy, the state spends about KSh 10 billion a year on ICT and data-centre running costs (2026) across an estate that runs several separate cloud platforms rather than one national one, on a hybrid model and holds government data both inside and outside the country under arrangements it does not publish.

Energy

Kenya's grid reaches much further than it connects: Afrobarometer's 2024 survey found 82 per cent of rural respondents living within reach of the national grid but only 51 per cent of rural households actually connected, against 98 per cent reach and 90 per cent connection in towns; about 76 per cent of the population had access to electricity in 2023.

A decade of genuine progress still leaves the country mid-table: access to energy was Kenya's third most improved measure in the 2024 Ibrahim Index, up 30.9 points over 2014–2023 to 52.8 of 100 and 16th of 54 African states.

The mix is unusually clean — renewable sources supplied 80.17 per cent of the electricity mix in the year to June 2025 — and off-grid supply is a financed industry rather than a pilot. the World Bank-funded Kenya Off-Grid Solar Access Project, begun in 2017, is the main programme extending off-grid solar into 14 underserved counties, and development finance now buys the household receivables outright: Norfund took NOK 177.2 million of a US$130 million securitisation for Sun King Kenya in 2023, structured entirely in Kenyan shillings and raised against customer

payments on metered solar systems collected through mobile money. Concentrated industrial load is the harder test: the country's flagship hyperscale data centre stalled, the President saying its draw would take a third of national supply.

Technical Capacity

The part of Kenya's governance record moving backwards is the machinery that would build and run its systems. Public administration fell 2.5 points over 2014–2023 to 56.1 of 100 and 24th of 54 African states in the 2024 Ibrahim Index, the country's weakest rank within Foundations for Economic Opportunity, even as effective administration held at 69.3 of 100 and 10th place, essentially unchanged over the decade.

The private base is stronger: Kenya's software engineering workforce is among the largest in Africa. It is also mobile, and the senior layer is thin. Three senior Safaricom executives central to its financial services strategy left within five months of March 2026, one of them to run Stanbic Bank Kenya, the last on 31 July 2026 with only an interim successor named. Inside government, ICT staff are graded under a scheme of service issued in February 2007, running across eleven grades from ICT Officer III to Secretary ICT.

Cybersecurity

Kenya's presidential website has been defaced twice within eight months. In November 2025 a coordinated attack took the presidency portal offline along with the sites of five ministries, the immigration department, the Directorate of Criminal Investigations, and on 18 July 2026 attackers defaced president.go.ke, demanded five Bitcoin by that evening and threatened to leak material about President William Ruto. State House worked with the National KE-CIRT/CC to restore the site, but as at 20 July 2026 nobody had claimed it, the government had made no attribution and had not said how access was obtained.

On paper the state is a leader. Kenya attained Tier 1, the role-modelling tier scored 95 to 100, in the ITU's Global Cybersecurity Index (2024/25), a measure of declared commitment, not of operations. Operationally, the National KE-CIRT/CC detected 2,355,938,192 cyber threat events in April–June 2026, down 30.03 per cent on the previous quarter, while web application attacks rose 43.68 per cent to 17,406,495 with government systems and internet service providers the primary targets. The institutions are newer: Parliament approved the National Cyber Security Agency Order, 2026 in June 2026, creating a central authority for critical-infrastructure protection, incident response, strategy and resilience audits, its first two board members were gazetted with effect from 11 September 2026, and amendments to the Computer Misuse and Cybercrimes Act were still only proposed in August 2026. European Union money backs a 2023–2029 programme on Kenya's security and cybersecurity and a €3 million Kenya Cyber Resilience project launched in January 2026.

Cybersecurity carries two external commitments on record, together about US$15 million (2026), both from the European Union.

The sharper exposure is at the identity layer. Fraud and scam complaints to the Communications Authority rose 83 per cent on the previous quarter to 86 in April–June 2026, against 23 in July–September 2025, and digital financial services and mobile money complaints reached 110, from 13 in July–September 2025, and the regulator blames unauthorised SIM replacement, identity theft and weak customer verification. Liability has now attached: the High Court upheld in July 2026 a finding that Safaricom was 60 per cent and Diamond Trust Bank 40 per cent liable for a KES 4.4 million SIM-swap fraud, Safaricom having completed a swap despite the customer's prompt report. Formal protection arrives piecemeal: the health data exchange's shared resources are designated critical information infrastructure by regulation and breach notification is a duty of the data protection regime. The communications minister told the Senate that the national incident response centre's forensics laboratory had received more than 200 requests, most involving online abuse (2026).

DPI

Data Exchange

Kenya's one data exchange with a statutory footing sits in health, and the gazetted text leaves its price blank: the Digital Health (Data Exchange Component) Regulations, 2025 commenced on gazettement on 11 April 2025, alongside an operational companion instrument the same day, and require users and consumers of the shared resources to pay the service fee specified in the Third Schedule — a schedule that, as served by Kenya Law in August 2026, carries its heading and no figures at all. Regulation 11 names those shared resources as the national health data dictionary, the client registry, the facility registry, the health worker registry, the Kenya Health Enterprise Architecture and the national logistics platform, and onboarding is fee-bearing, with failure to pay a stated ground for action against a health data controller.

Above health there is no unified national hub. Kenya runs more than 20,000 digital government services with eCitizen as a one-stop portal for several of them, but limited local connectivity, non-digitised records and siloed, manual systems still stand in the way of a full transition (2026), and an X-Road-based test environment run between April 2024 and June 2025 produced an interoperability framework document rather than a production platform. The World Bank records a government interoperability framework in place but only partially used, its workings and data-sovereignty terms unpublished, with tax, customs, human resources, debt, public investment, social insurance, procurement and financial management connected both point-to-point and through a Government Service Bus. What flows is mostly bilateral: iTax is integrated with the National Registration Bureau, the transport management system and the Business Registration Service; the land register is wired point to point to eCitizen, iTax, the population register and the business register; the social protection single registry authenticates cash transfer beneficiaries against their national ID numbers; and the trade single window, upgraded and commissioned in August 2021, is fully integrated with the customs system, automating cargo release. The revenue authority also exposes its own services outward: its GavaConnect API platform lets businesses, fintechs and ERP providers embed tax services, with more than 2,500 developers onboarded by March 2026. The voter register is the visible exception: the electoral commission works with the registration bureau, immigration and civil registration to verify national ID, passport and death records, and was still negotiating an API link to the population register in February 2026.

Digital Identity and CRVS

The national identity card is now free to obtain: the fees for a first card have been scrapped and a gazette notice of late October 2025 waived the KSh 1,000 replacement fee for six months. In January 2025 a High Court judgment ordered the state to remove from the refugee database, within 60 days, vetted citizens who had been wrongly registered as refugees, a group of more than 40,000 people near the Dadaab and Kakuma camps.

The system rests on Section 9A of the Registration of Persons Act, inserted in 2018; no standalone digital identity act has been enacted, and on the 2020 NIIMS Rules, which establish the database, the Maisha Namba and card, make the credential sufficient legal proof of identity, and carry it into government services, banking, SIM registration and East African Community travel. Registration is compulsory for citizens at 18. Biometrics are ten fingerprints, facial images and iris scans, DNA and GPS collection having been struck down in Nubian Rights Forum. The identifier is lifecycle-based, assigned at birth registration, doubling as the birth certificate number, with a minors' card at six and an adult card at 18, and issuance at 18 is moving to automatic generation from civil registration data.

Holding it opens the state. Biometric patient registration was operational in all level 4 to 6 public health facilities by August 2025; it is required for SIM registration under the 2025 telecommunications subscriber rules; and the number runs as a shared identifier across education, health, tax, social security, eCitizen and the land registries, on a hub and spoke centred on the population register.

Oversight runs through litigation rather than audit. No data protection impact assessment for Maisha Namba has been made public, and no access log is exposed to the data subject. The courts declared the Huduma Namba system illegal in 2021 and have since suspended the Maisha Namba rollout for want of a data protection impact assessment, while a constitutional petition argues the new system entrenches exclusion. Electronic birth notification is to reach every hospital contracted by the social health insurer by December 2026, on the immigration principal secretary's statement of 6 October.

Digital Payments and Fintech

The retail price of Kenya's dominant payments rail moved in August 2026 in the Central Bank's name: Safaricom cut M-Pesa business tariffs by up to half from 7 August, attributing the change in its own customer notice to alignment with the Central Bank's pricing principles. Pay to Mobile in the Sh501–1,000 band fell from Sh13 to Sh7, and the free threshold on Lipa na M-Pesa Buy Goods doubled from Sh200 to Sh500.

The rail those prices sit on is one company's. Safaricom's audited results report 40.99m one-month-active M-Pesa customers in Kenya at 31 March 2026 and KES 41.68tn moved across 46.41bn transactions; Safaricom held 88.8% of mobile money transfer subscriptions at 30 June 2026, and the low-value Kadogo tier accounted for 58% of all platform activity in the year to March 2026. On 15 September 2026 the High Court declared void the government's sale of 15 per cent of Safaricom, which had given a single foreign shareholder 55%, and restored the shares to the government. Reach is wide: 54.0m mobile money subscriptions at 30 June 2026 and 90.7% of adults making or receiving a digital payment in the Global Findex reference period (2024).

The Central Bank owns and operates the wholesale KEPSS system, but the retail instant scheme PesaLink is operated by Integrated Payment Services Limited and owned by the Kenya Bankers Association, connecting more than 80 banks, fintechs, telcos and SACCOs. A draft National Payment System Policy, published for comment on 21 September 2026, commits the Government to a national instant payment switch, a contest that has drawn bids and alliances from Kenswitch with Visa, the banks through IPSL, and Nigeria's NIBSS with Ceva, on top of full interoperability between mobile money operators. Kenswitch launched a domestic card scheme on 22 September 2026, letting banks and other institutions issue physical and virtual cards over its network of more than 2,200 ATMs, 50,000 point-of-sale terminals and 80,000 agent outlets, without naming any issuer, date or price. Government payments are going digital — the Treasury's eCitizen unit is tasked with making all payments to government digital, and salaries and pensions moved onto an integrated payments system from August 2025 — while the central bank licensed 29 more digital credit providers on 30 September 2026, 281 in all from more than 900 applications since March 2022, the Hustler Fund now accepts Bonga Points as loan repayment, and the Auditor-General found 104,631 of its loans worth Sh116.5m issued to borrowers whose national ID details were missing. An industry association reported the bank-owned instant payment switch's chief executive saying a portable account identifier is ready and institutions must begin mapping customers to it (2026).

Registries

Being registered and holding the document are not the same thing in Kenya: birth registration completeness stood at 77.1% in 2023, while only 34% of registered children held a birth certificate at the 2022 Demographic and Health Survey, and death registration runs far behind births. Civil registration is one of the country's ten most deteriorated measures in the 2024 Ibrahim Index, down 12.5 points over 2014–2023 to 50.0 of 100 and 31st of 54 African states.

The mechanics explain the gap. Births and deaths are registered on paper forms B1 and D1 completed in duplicate, and digitisation is a back-office task: about 20 million birth and death records were still awaiting it in 2018, and the electronic civil registration database remains partially deployed. A digital birth e-notification linking hospitals

directly to Civil Registration Services and the identifier generator started as a Nairobi County pilot in 2026, and after its June 2026 launch it registered more than 270,000 newborns with unique personal identifiers in two months, while the Registrar of Marriages ended manual certificate printing entirely in January 2026.

The registers are joined at the identifier rather than through a platform: civil registration feeds the Maisha Integrated Database combining national ID, birth and death records and foreign national and refugee records, and the Maisha Namba is assigned at birth registration and becomes the national ID number at 18. The population register itself is meant to integrate the registration agencies' records into a single point of truth on identity.

Elsewhere, coverage varies sharply. Company and business name registration is fully operational online, and the social protection secretariat runs an enhanced single registry of vulnerable households. Land is partial on both halves: ArdhiSasa is being brought live county by county and was down again on 21 September 2026 after being unavailable from 1 September, the cadastre is kept as a separate module under the Director of Surveys, and title issuance covers under a third of the country. The voters roll stood at 22,120,458 after the audited June 2022 revision, 79.41% of the eligible electorate. And a national addressing system, in preparation since a steering committee was constituted in 2016, had reached draft standards, a draft policy and a draft county addressing law by September 2017.

Sectoral management information systems

Kenya's health data systems are being built with American money on terms that leave Kenya the bill for running them: a December 2025 cooperation framework covers developers, product managers, systems engineers, cloud capacity, software licences and hardware, while ongoing licensing, cloud and hardware maintenance and replacement fall to Kenya wherever the US Government does not specifically pay. The money is earmarked against named systems: the TaifaCare health management information system, the national logistics management system, surveillance systems, a laboratory information management system, KEMSA's iLMIS and national and county health data banks. USAID's Afya Halisi programme of 2017–2022 supported the national health management information system and community health information.

An interoperability layer built on the OpenHIE framework and HL7 standards connects eight health systems; and the Social Health Authority's own system ran in 5,078 facilities by June 2026, carrying patient verification and electronic claims. The Authority has begun biometric enrolment of dependants aged 7 to 17, issuing each child a Maisha Namba linked to their health record, and a High Court petition reported on 4 August 2026 names a private firm as recipient of a disputed Sh1.2bn system utilisation fee on the claims platform.

Education made the system the condition of the money on paper: schools not registered on KEMIS were told in June 2026 they would receive no capitation for the third term, with 98 per cent of public schools submitting enrolment data by September 2025, but the latest capitation round used neither system, the education principal secretary telling the Public Accounts Committee in August 2026 that it ran on manually verified data because KEMIS was incomplete. Revenue runs on iTax, with tax administration on commercial software, customs custom-built. The customs system is the Integrated Customs Management System, which took every customs module from May 2022, when the legacy Simba system stopped taking most entries; its failure in November 2024 halted clearance at Mombasa, the main airport and the inland depots, and the revenue authority said in August 2025 that it was upgrading infrastructure about a decade old. The courts are further on than the police: e-filing reached every court station in March 2024, and user accounts rose from 7,152 to 51,729 after the roll-out (FY2023/24). Public financial management is the most complete layer: IFMIS operates across national and county governments, a treasury single account is used extensively by all ministries, departments and agencies, and custom-built human resource, payroll, debt and public investment systems are in use, the HR system keyed to the national identifier. Policing is furthest behind: the digital occurrence book was still being procured in April 2026, and the police service listed it in May

2026 among the technologies it is investing in ahead of the 2027 election. The health ministry ordered contracted facilities to move from the insurer's provider portal to their own certified systems by 30 September 2026, then extended the deadline to 30 October for larger public, faith-based and private facilities. The health ministry and the governors' health committee agreed in October 2026 that current facility contracts will not be extended again, and the ministry put migration at 6,427 public, 38 private and 38 of 518 faith-based facilities. Murang'a County sued the health ministry, the Digital Health Agency, the Social Health Authority and the Attorney-General after its access to its own records system was withdrawn on 14 October 2026.

Other GovTech and e-Gov

Filing a tax return in Kenya now runs over WhatsApp: the Revenue Authority launched a chatbot filing service in April 2026 that cuts the process from eight steps to three, aimed at bringing taxpayers from the informal and youth-driven economy into a system where only about 7 million of more than 22 million registered taxpayers file.

The front door remains eCitizen. An eCitizen account is meant to give citizens access to all government services, and foreigners and residents to some, with a digital ID for verifying identity online, but only 1,695 services had been migrated onto it in the year to 31 March 2026 against an annual target of 11,000, the Controller of Budget reported, and in the last week of August 2026 it failed twice, its payment layer down for much of 26 August and the tax invoicing service reached through it down for three days to 31 August. A diaspora portal launched on it in February 2026 lets citizens abroad register, report missing persons and deaths and send distress alerts, the same month the Kazi Majuu overseas employment programme was launched; ministries, counties, departments and agencies are being onboarded onto it with single sign-on and its Pesaflow payment system. Around it sit an online tax portal offering registration, filing and payment, a social protection portal offering registration, benefits and payments, government jobs portals for citizens and public employees, and company formation on the service portal. Businesses meet the state through an electronic procurement system in use across government, supporting online tendering and contract management and interfacing with other systems, which the 2026/27 Budget Statement made mandatory for all government procurement from 1 July 2026, and public-private partnership arrangements exist for online service delivery. At the 57 Huduma centres, private cyber cafes chosen by tender charge Ksh150 for assisted access to eCitizen, on top of official service fees (October 2026).

Coordination has an owner but little published record: an institution responsible for coordinating digital transformation across ministries is established, while documentation of the estate is largely internal and unpublished. Kenya is nonetheless placed in the top band of the World Bank's 2025 GovTech Maturity Index, alongside Rwanda, Uganda, Egypt and Tanzania. Newer work is at proof-of-concept stage: a W3C verifiable-credentials wallet for verifying civil service qualifications without a central credential database was completed with the Public Service Commission in March 2026, and parliamentary staff in Kenya and other African legislatures being trained in AI-assisted research were using public AI tools on personal judgment with limited monitoring of data flows (July 2026). The largest single bill is electoral: Parliament approved a further Sh33.5bn for 2027 election technology on top of the Treasury's Sh41.3bn, taking the programme to Sh74.8bn, with MPs challenging the replacement of working KIEMS kits and the climb from Sh61bn within weeks.

Digitalisation

Digitalisation of sub-national government

Kirinyaga County had installed 102.4km of fibre connecting all five of its sub-counties to the One Government Network, with nine public Wi-Fi hotspots and a second phase under way, as at January 2026 — one county of Kenya's 47.

The system that does reach the whole county tier is financial: the Integrated Financial Management Information System operates across the national and county governments, covering treasury functions and budget preparation on commercial off-the-shelf software (2025). Below that, the county tier is where the shared data exchange stalls: the vendor of the national interoperability pilot found limited local connectivity, non-digitised records and siloed manual systems still in the way (2025).

Regulation has arrived ahead of the systems it regulates. The Office of the Data Protection Commissioner told counties in March 2025 that each department headed by a County Executive Committee member must register separately as a data controller, and again as a processor where it handles data for a third party, while its own outreach was reaching constituencies a handful at a time. County governments paid at least Sh8.3 billion in salaries through manual payrolls outside the payroll system in the year to 30 June 2026, on the Controller of Budget's report. The county governments built My County Hub with Safaricom, a portal for emergency requests, business permits and parking payments. The sharpest dispute is over a county's own health system: Murang'a lost access to its records platform on 14 October 2026 and has asked the High Court to restore it across more than 176 facilities, the county putting 65,000 patient records since 2023 out of reach.

Rural digital data capture

Outside the capital the record is still made on paper and turned into data afterwards: births and deaths are registered on duplicate paper forms and digitised afterwards in bulk, so the digital step happens away from the counter, and police occurrence books were still due to go digital in May 2026. Kenya's national interoperability pilot ran into limited local connectivity, non-digitised records and siloed manual systems. Mobile signal reaches almost the whole population, but a signal is not a workstation, and the rural-urban gap in household grid connection is the other half of the constraint.

What gets built for rural users is largely privately or donor financed. InfraCo Africa invested US$6 million in Mawingu Networks in 2023, a provider delivering fixed wireless broadband to rural households, schools and health facilities from solar-and-battery powered towers — seven years after OPIC lent the same company US$4.1 million alongside Microsoft to deploy TV white space in 2016.

Agriculture is where capture is now being attempted across a whole sector. The African Development Bank has financed a Rural Transformation Centres Digital Platform, an XDR 600,860 grant running from 2020 to 2026 for a single platform connecting smallholders, cooperatives, agro-dealers and public services, and the Farmer Visibility Project, announced on 30 July 2026 by Heifer International, Mastercard and KCB Bank Kenya, targets 30,000 dairy farmers over a nine-month pilot, digitising milk deliveries, payments and input purchases so that the accumulated transaction record stands in for the credit history smallholders do not have.

Kenya scores far better on the policy than on the outcome: first of 54 African states for rural economy support in the Ibrahim Index, at 96.3 of 100 and up 15.5 points over the decade to 2023, while rural market access is the weakest of its four rural economy measures at 59.8 of 100, 24th of 54 and down 6.3 points over the same decade. The public instrument aimed at the gap is the Communications Authority's Universal Service Fund strategy for 2023-2027.

Technology

AI

A constitutional challenge to artificial intelligence in Kenyan payments reached the High Court in April 2026, brought against Safaricom over its Zuri chatbot and the automated decisioning behind M-Pesa approvals, reversals, fraud detection and credit scoring. It arrives ahead of any binding instrument. Kenya published a National Artificial Intelligence Strategy 2025-2030 setting direction across broadband, cybersecurity, data centres, data protection,

digital identification and payments, but the draft Artificial Intelligence and Other Emerging Technologies Policy, issued for public participation on 21 July 2026, remains a draft, and the data protection regulator has moved on offshore AI data transfers ahead of it, with draft guidance in August 2026.

The draft would tier AI systems by risk, attaching mandatory impact assessments and independent audits to high-risk deployments and requiring human-in-the-loop oversight where decisions affect legal rights, health or public benefits. It would give people a right to know when an AI system is acting on them, covering automated decisions materially affecting rights or access to services and AI-generated or substantially altered public content. And it would require a centralised public registry of AI systems deployed in the public sector, pointing the transparency duty at what the state itself runs.

Procurement is moving faster than the policy. The Ministry of Health's tender for the KNPHI enterprise resource planning system makes a phased generative-AI module mandatory and binds the supplier to disclose the model, provider, processing location and retention, with the AI advisory-only and fully logged (July 2026). The Digital Health Agency followed in August 2026 with seven tenders to overhaul TaifaCare, led by an AI-driven platform for maternal, newborn and child health and including an AI-managed national blood bank system. The revenue authority is already running it: the President said in November 2025 that AI risk engines had been integrated into tax compliance and piloted in customs. In the state's digital public infrastructure, AI appears in strategy: the DPI roadmap under development in September 2025 follows the National AI Strategy 2025–2030. Private deployment runs ahead of both: Absa Bank Kenya piloted a deepfake-detection agent at account opening and adopted an internal AI policy (2025), and Apollo Agriculture underwrites smallholder credit with satellite data and machine learning, on a US$9.5 million US development-finance loan (2021).

Automated moderation does not track Kenyan speech. A year of annotation by KICTANet traced the Sheng term *asalimiwe* from a 2024 accountability call against officials into a phrase directing mobs at private women, concluding that detection has to be community-rooted and human-reviewed rather than scaled by model (July 2026).

ICT Industry

Kenya's ICT sector is growing more slowly than it was: value added rose from KSh 339.5 billion in 2023 to KSh 364.5 billion in 2024, with sector growth down to 7.0 per cent from 10.3 per cent the year before, on total ICT output of KSh 701.3 billion (2024).

The exposure showed in April 2026, when Sama cut 1,108 jobs in Kenya after Meta ended its content-moderation and data-annotation contract — one client's withdrawal removing more than a thousand posts, and with them the idea that Kenya's AI-outsourcing business rests on more than a few US buyers. Microsoft told staff on 12 October 2026 that it is winding down its Africa Development Centre in Nairobi, putting nearly 400 engineering jobs at risk with fewer than ten expected to remain; the company confirmed only proposed changes to its engineering operations. The draft AI and Emerging Technologies Policy would put the response inside the technology instrument rather than in labour law, setting minimum standards for content moderators, data annotators and AI quality evaluators — pay transparency, psychosocial support, grievance procedures, a duty of care against prolonged exposure to disturbing material, and a fair-pay framework benchmarked against international rates with mandatory disclosure, binding international firms operating through outsourcing partners as well as local employers.

The strongest part of the domestic sector sits around M-Pesa. Safaricom's Daraja developer portal carried more than 105,000 developers and 66,000 integrations when it was rebuilt as a cloud-native version 3.0 in November 2025, adding payment interfaces for connected devices as API traffic grew. That base builds against a business environment scoring well in regional comparison: business and competition regulation reached 81.9 of 100 in 2023, fifth of 54 African states and up 14.4 points over a decade.

Large government technology projects run on concessional foreign finance rather than domestic supply. Korea's development cooperation fund lent US$100 million in 2019 for the second phase of Nairobi's intelligent transport system, Germany committed €23.8 million over 2021-2025 to a Digital Transformation Centre aimed at the gap between Kenya's high internet uptake and its workforce's digital skills, and a Korean-financed Digital Media City at Konza Technopolis is under financing agreement. The counterweight is small: the Universal Service Advisory Council has turned universal-service attention toward locally assembled devices (August 2026), and the desktops procured for the Digital Hubs were locally assembled. A press report of the company's accounts showed the device financier completing its US$8m acquisition of a Finnish device-locking software company (October 2026).

Innovation ecosystem

Kenyan startups raised more venture funding in 2024 than any other African market, and Kenya ranked 96th on the WIPO Global Innovation Index the same year. Capital finds Nairobi; the measured capacity to convert it does not follow at the same rate.

The statutory frame is more than a decade old. The Science, Technology and Innovation Act of 2013 remains the framework for research and innovation, including startup support, administered through NACOSTI. Its intended successor for start-ups has not passed: a Start-up Bill would make Kenya Industrial Estates the labelling body for start-ups and incubators and attach tax incentives to the label, and the state's own innovation agency recorded it still in parliamentary debate after three years (2024). Around it sit innovation and technology hubs in the AfriLabs network, from JHUB Africa to Villgro Africa (2024).

Inside government the picture is thinner. An established public-sector innovation body operates with a remit for public service innovation, but Kenya has either a public-sector innovation strategy or a programme, not both (2025).

Early-stage financing has come substantially through development finance rather than domestic funds. The IFC committed up to US$3 million as a limited partner in Savannah Fund II, a Nairobi fund raising up to US$25 million for pre-seed and seed companies in fintech, edtech, agritech and digital platforms (2021), and Novastar Ventures co-led a US$10 million Series A for Turaco in 2022, an insurtech embedding health and life cover into digital platforms, agribusinesses and logistics firms across five African markets.

New firms are building rather than reselling. Zerobionics builds humanoid robots that render speech into sign language in real time for deaf students, delivered over 2G so that a teacher without sign language can instruct remotely, and Vumah Labs builds content-authenticity detection and consent-management tooling. In May 2026 Qhala, Amini AI, Angani and iXAfrica formed the Qubit Hub to host an African AI research and compute laboratory on a Nairobi campus, aimed at compute, talent and community for builders across the region.

What will govern all of it is not an AI instrument in any narrow sense. The draft policy's subject matter extends to blockchain, the internet of things, robotics, autonomous systems, extended reality, advanced communications and quantum-related technologies, making it a general technology-governance instrument carrying an AI title.

Capacity

Literacy

Kenya gets children through school far more reliably than it gets them into it: on the 2024 Ibrahim Index its enrolment score of 49.5 ranks 16th of 54 African states, up 6.7 points over the decade to 2023 and well short of its completion score of 86.0 (2023). Education as a whole is one of the country's three strongest showings in that index,

scoring 67.0 for 6th place of 54, up 2.5 points over 2014–2023 (2023). The gap in the record is the teaching workforce: of the 96 indicators the index scores, human resources in education is the single one for which Kenya returns no data at all, so its teachers cannot be measured or ranked against the continent (2023).

Against that schooling base, the digital-literacy floor is thin and largely externally funded. The state's own digital skills programme does not extend to citizens and schools, and the strategy behind it is not published (2025). What does reach schools arrives through donors: the World Bank-supported second phase of the Digital Literacy Programme began delivering smart boards and teacher laptops to 178 of Nyeri County's 377 public junior schools on 21 September 2026, EU money for last-mile school connectivity, delivered with UNICEF, the ITU and the government under the Giga programme across all 47 counties (October 2023). Citizen-facing teaching follows the same pattern, with a partnership signed with Intel in September 2026 to deliver AI literacy through the public library network, a UK-funded programme running digital literacy and digital financial access work across eight arid and semi-arid counties to March 2026 (2025), and the data protection regulator running its own constituency-level advocacy in a second round of constituencies (March 2025). Education data is meanwhile being folded into the identity system through KEMIS, which replaces NEMIS and is to use the Unique Personal Identifier issued to every child (May 2025).

Training and skills

Kenya's vocational sector is being digitalised almost entirely on foreign concessional money, and its largest project has not started delivering: the Digitalization for TVET project, some €50 million co-financed by KfW, the French development agency and the EU, was still prequalifying its implementation consultant on 22 September 2026, with five years of delivery counted from that consultant's start. KfW's share is the €18 million over 2025–2030 to digitalise technical and vocational education, working both at selected vocational training institutes and at national government level, alongside its earlier and separate €5 million concessional loan of 2020–2026 for ICT-focused technical and vocational training, while the EU is spending €9.9 million over 2023–2028 aligning course offerings and facilities in selected TVET institutions with a digitally enabled economy. Germany separately funded a Digital Transformation Centre over 2021–2025 aimed at the distance between Kenya's smartphone and internet uptake and its workforce's digital skills, and EU money is also building national cyber skills alongside critical-infrastructure hardening (January 2026).

The state's own training effort points inward. Kenya has a digital skills strategy for the public service and a training programme running under it, covering basic digital skills and data literacy (2025); the Africa Centre of Competence for Digital and AI Skilling, launched at the Kenya School of Government in December 2024, aims to train 100,000 civil servants in its first phase, on a four-level curriculum validated with UNDP and Microsoft on 30 July 2025; and the 2026/27 ICT budget names digital skills among its targets (July 2026). The Digital Hubs are intended to carry the public-facing side, delivering digital skills, artificial intelligence, software development, online work and e-commerce training as well as access to government digital services, with centres of excellence and standard hubs still under construction (August 2026). Inside government, parliamentary staff being trained in AI-assisted research in Kenya and other African legislatures were found using public AI tools on personal judgment, with limited monitoring of data flows (July 2026).

Where good training is offered, demand outruns it: KICTANet's Kenya School of Internet Governance has trained more than 400 people since 2016, and its latest cohort drew 555 applications for 51 places, of which 45 completed (August 2026). The same organisation runs a youth internet-governance ladder feeding a position paper into the national delegation (August 2026).

Research institutions

Every gap a submission to Kenya's AI policy consultation names is a research-capacity gap: it lists research investment, universities producing AI researchers, affordable high-performance compute, secure data infrastructure and local datasets reflecting local realities as what the draft policy does not reach (July 2026). The statutory frame around research is over a decade old — the Science, Technology and Innovation Act of 2013, administered through NACOSTI, remains the basis for research and innovation, including startup support. Where domestic knowledge is produced it tends to come from civil society rather than the universities: a year-long KICTANet project with Meedan classified over 1,000 Swahili-language posts of online abuse and found that some of the most damaging carried nothing a keyword filter would catch, building the kind of local-language labelled dataset the AI submission says the country lacks (July 2026).

Inclusion

Access to services

Kenya's Financial Inclusion Fund, the Hustler Fund, has been all but defunded: state money fell from Sh20 billion at launch to Sh300 million in the year to June 2026, the Treasury has added nothing this year, and 15 per cent of its lending is in default (March 2026).

Documentation is the gate. Only 34 per cent of registered children held a birth certificate in 2022, and about 5 million Kenyans lacked a national ID in 2025, and the number is the shared identifier for education, health insurance, tax and social security, so one missing document closes several doors. The card is now free; the register's shortfall has not.

Legal Notice No. 90 of 30 May 2025 recognises the Refugee ID Card for SIM registration, opening mobile money to refugees. Take-up is thin: about 30 per cent of Kenya's roughly 836,000 registered refugees hold both a Refugee ID and a mobile money account, and fewer than one in ten is banked (March 2026), held back by documentation delays, uneven know-your-customer practice and weak interoperability between the two identity systems, formal eligibility running ahead of practical registration (2025).

Accessibility is recognised and unenforced. Research and a Sightsavers-commissioned assessment find USSD codes that visually impaired users cannot dial, and counters and cash machines too high for wheelchair users (2025). The National AI Strategy 2025–2030, the Persons with Disabilities Act 2025 and the ICT policy all recognise inclusion and set no accessibility standard or enforcement mechanism (July 2026).

Complaint against the state has had an online route since 2022, when the Ombudsman opened the public portal of its complaints management system, but 72 per cent of the 813 complaints it received against public institutions in 2025 were still pending at year end, and applications for review of access-to-information cases rose from 32 in 2016/17 to 654 in 2025/26.

Price is not the obvious barrier: the data-only mobile basket costs under 2 per cent of gross national income per head (2024). On devices the state's answer is credit: the ICT Cabinet Secretary has asked the Chamber of Commerce to work with the government on affordable laptop financing for young people, a programme still at the proposal stage (August 2026).

Digital divides

Lack of a national identity card or other required documents is the reason unregistered Kenyans most often give for staying off the voters' roll, particularly the young, only 57 per cent of those aged 18 to 24 being registered, in TIFA Research's Road to 2027 fieldwork of June 2026. The register's gaps run heaviest through the young, so a documentation problem surfaces as a civic one.

Coverage is not what limits use. The Communications Authority and the statistics bureau record affordability and access as critical challenges in the same annual report that puts mobile population coverage at 98 per cent (June 2025), while national internet use sits far below the signal's reach. Handsets say the same: 52,262,565 smartphones against 27,420,856 feature phones as at 30 June 2026, feature phones still better than a third of connected devices.

In Tana River, the poverty rate is 66.7 per cent and close to nine in ten children face multidimensional deprivation (2022). KICTANet's focus-group work in the same county found trust rather than access the limit on women's phone use: women own the more expensive handsets, bought from business income and savings-group funds, and still meet male suspicion about managing them. CIPIT's work with Kenyans with disabilities names device and connectivity cost, exclusion from design, and distrust of how disability data is collected (July 2026). Fuliza overdrafts crossed KES 1.46 trillion in the year to March 2026, up 49.3 per cent, and the Daily Nation traces that growth to food, rent and school fees.

The state's answer is buildings. 588 Digital Hub sites are committed nationwide against a target of one hub in every ward, 46 Centres of Excellence and 40 Standard Digital Hubs under construction and 10,000 locally assembled desktops procured for the first 100 pilot hubs (August 2026); the programme blames the last generation's failure on recurrent cost: electricity, connectivity, maintenance and management. British aid works the edges: £4.77 million to March 2027 for last-mile connectivity and £2.3 million across eight arid and semi-arid counties, £1 million of it in refugee-hosting Garissa and Turkana.

Data

National statistics

Two of the five survey types the World Bank's Statistical Performance Indicators count are entirely unmet in Kenya: no labour force survey and no business survey has been recorded within the last ten years (2023), and data sources — the pillar measuring what a statistical system actually collects — falls in the 20-49% band, much the weakest part of the system, against above 89% for data use and 70-89% for both data products and data infrastructure (2023).

The census programme is the opposite case. The 2019 census enumerated 47,564,296 people and was the country's first paperless one, run on mobile devices for mapping and enumeration. Population, agricultural and business censuses have all been run within the last ten years, meeting all three of the framework's core census requirements (2023), alongside three or more household surveys, three or more health surveys and two agricultural surveys (2023). The capacity of the statistical system scores 59.5 of 100 in the 2024 Ibrahim Index, 15th of 54 African states, and has been flat since 2014 (2023) — comparatively strong on the continent, and not improving. The gaps are specific rather than general: the teaching workforce cannot be scored against the continent at all, for want of data (2023).

Where administrative systems do the counting, the distance between a register and a live population is wide. Kenya has more than 22 million registered taxpayers but only around seven million active filers (April 2026), on a revenue authority whose single-view-of-the-taxpayer data warehouse was built with Swedish assistance. The Central Bank counted 82.43m registered mobile-money accounts at December 2024 and 94.35m, with 575,400 agents, in July 2026, a stock growing faster than any active-user series and carrying a large dormant tail. The operator's own active

count is smaller: Safaricom reported 40.99m one-month-active M-Pesa customers at 31 March 2026. Inside government, the financial management system is used extensively to monitor programme performance but tracks indicators for only some programmes (2025). The social development directorate drafted a second Inclusive Data Charter action plan for 2026 to 2030, widening the first plan's disability focus to gender, children and older persons.

Open data

Kenya's draft National Data Governance Policy of May 2026 is mostly interoperability plumbing, but carries a data-marketplace component under which the state would monetise public data, a direction designed around India's DEPA-style individual consent architecture (July 2026). That design sits beside institutional governance of anonymised data treated as a national asset, leaving open when personal data counts as anonymised and who decides (July 2026) — the sharper question being what the state would be selling, given how little of what it holds it currently publishes.

The published base is real but uneven. An open data portal with a full catalogue is maintained, its datasets refreshed on cycles running from monthly and quarterly to annual (2025). The statistics bureau also runs a food-security and nutrition repository listing downloadable survey, census and health information system datasets. On the 2024 Open Data Inventory the strongest showings are balance of payments, trade and price statistics at 7.5 out of 10, with government finance, crime and justice and population statistics at 7.0; the weakest are education facilities and food security at 4.0, with labour, national accounts, energy and education outcomes all at 4.5 — the areas a reader would need to judge jobs, growth or hunger. Communications and digital data is the one category carrying no score at all (2024).

The right to ask for what is not published is long established. The Access to Information Act 2016 creates the statutory right to request information held by public bodies, the ICT Cabinet Secretary gazetted the Access to Information Policy, 2026 on 9 October 2026, requiring public offices to disclose key records proactively, answer requests within set timelines and give written reasons for refusals, and the law is in force with the machinery for making requests rated effective (2025). Accessibility of public records ranks 8th of 54 African states in the 2024 Ibrahim Index at 49.8 of 100, up 3.2 points over the decade to 2023, but disclosure of public records, where Kenya ranks 4th of 54 at 55.5, fell 6.6 points across the same period. The state's own digital estate is the least visible part: documentation of the procurement, debt, public investment and tax systems, the data governance strategy and the data protection regime exists internally but is not published, and nothing at all is published for the GovTech coordinating body, the service portal or the digital transformation strategy (2025).

Use of satellite data

What Earth observation does reach the ground is privately run and donor-financed: Apollo Agriculture underwrites credit for smallholder farmers from satellite data and machine learning, on a ten-year loan from the US development finance agency (2021). The land record it might otherwise serve remains only partly mapped and adjudicated. Weather forecasting draws on a regional rather than a national asset: a satellite-data retransmission station at the regional climate centre ICPAC in Ngong, one of four built under a €20 million African Development Bank programme, feeds high-resolution data into severe-weather forecasts (2021).

Geopolitics

US / hyperscaler activities

Kenya was the first African signatory of the America First Global Health Strategy, signing a five-year, US$2.5bn health cooperation framework with the United States on 4 December 2025, and the data-sharing agreement inside it institutionalises US government access to Kenyan health, genomic and pathogen data and to the national health-

information systems themselves. The money is earmarked against named systems — the TaifaCare health management information system, the National Logistics Management System, KEMSA's iLMIS, the laboratory and surveillance systems and the national and county health data banks. It extends the longest-running strand of American digital assistance to Kenya, USAID health-information funding such as the 2017–2022 Afya Halisi programme, which supported the national health management information system and continues through the Kenya Digital Health Ecosystem Activity, backing DHIS2 and interoperability, to 2026. Access to African health data has become a condition attached to global health funding rather than a by-product of it.

The cloud footprint is thinner than the data one. There is no hyperscaler region: AWS runs a Nairobi Local Zone parented to Cape Town with Outposts alongside it — and on 18 August 2026 signed a collaboration agreement with the Konza authority to put an Outpost and a startup and innovation centre of excellence on the technopolis, with certification training for authority staff and young Kenyans and credits for startups, carrying no capacity, investment figure or delivery date — and Oracle's Nairobi region, to be hosted by iXAfrica, was still in preparation in September 2026. Google, AWS, Oracle and VMware all attended the Olkaria data-centre groundbreaking in 2023 as interested players. What US platforms do hold is the commercial layer: Safaricom took Amazon Web Services for generative-AI fraud detection, customer-service automation and engineer upskilling (June 2025), putting US cloud AI inside the operator that runs M-PESA, and Meta has Safaricom as landing and operating partner for its Daraja cable, its second into the country. The dependency runs both ways: Meta's exit from content moderation and data annotation forced mass redundancies at Sama in April 2026.

American development finance sits in private connectivity rather than state systems — DFC loans to poa! Internet for towers and customer equipment and to M-KOPA for smartphone and solar receivables, and USTDA feasibility studies for a Mombasa–Malaba fibre and tower corridor. The two governments held bilateral talks in July 2026 on Kenya's draft Data Governance Policy and on secure cross-border data flows.

China activities

The Chinese footprint is mostly one of repayment, with one new framework signed on top of it. Repayment of the Konza data-centre concessional loan from China Eximbank began on 31 March 2026 and runs to 2038; on 18 August 2026 the same authority signed a memorandum with Guodong Network Communications Group covering the planning, investment, financing, design, development and maintenance of cloud, artificial intelligence, high-performance computing and smart-city infrastructure at Konza, naming no project, value, financing instrument or date and stating the financing models themselves as still to be explored. That 2019 loan, at two per cent over a nineteen-and-a-half-year maturity, financed a commercial contract with Huawei for a national cloud data centre, a smart ICT network, public safe city and smart traffic systems and a government cloud. The national fibre backbone was built the same way, through China Eximbank concessional loans in 2012 and 2016 whose proceeds paid Huawei to lay the second phase of NOFBI, and Kenya has been repaying that in semi-annual instalments since March 2019 with maturities running into the 2030s.

Huawei's commercial presence continues without concessional finance behind it. Absa Bank Kenya rebuilt its branch network on Huawei SD-WAN (2025) alongside cloud deployments and machine learning, and Safaricom launched Kenya's first fibre-to-the-room service with Huawei in May 2026, putting optical access points in individual rooms with AI-based network management.

EU activities

The anchor of European digital money in Kenya is €28 million over 2022–2030 for Human-Centred Digitalisation under a Team Europe initiative, which presents inclusive digitalisation as an EU strategic interest in the region as much as a development objective. In cybersecurity it funds a programme running 2023–2029 framed around the

security risks that accompany digital transformation and a Kenya Cyber Resilience project implemented by Expertise France with EstDev from January 2026. Elsewhere it funds last-mile connectivity for schools, the digitalisation of technical and vocational training, and civil-society work through grants including Sheria ya Vijana and the KenSafeSpace digital-rights coalition, which closed after thirty months.

The European Union is the most frequent financier of Kenya's digital estate by number of commitments, eight worth about US$187 million (2026), ahead of USAID with seven and the US DFC and the IFC with five each, though the largest individual sums come from the World Bank, China Eximbank and private data-centre developers. Both cybersecurity commitments on record are the EU's.

What Europe holds in Kenyan systems is smaller than what it funds. Cybernetica piloted an X-Road-based interoperability test environment between April 2024 and June 2025 and produced a framework document rather than a production platform; the European Investment Bank's 2018 loan to Telkom Kenya for mobile broadband expansion has closed. The durable influence is regulatory. Kenya's draft AI Bill 2026 declares itself a transplant of the EU AI Act on its own Memorandum of Objects, while leaving out extraterritorial reach and revenue-scaled penalties, its fines capped at KES 5 million. EU and German technical assistance supports Kenya's draft data-governance policy even though the reuse of public data it contemplates would not be permitted inside Europe, and European support for digital public infrastructure extends to digitising land registration so that ownership can be proved through an ID-linked system. Italy is also one leg of the trilateral sovereign AI partnership signed with Kenya and India in February 2026.

Gulf/UAE activities

The Gulf's largest project in Kenya is one that has not been built: the Microsoft–G42 data centre at Olkaria has stalled, President Ruto saying its planned 1 GW draw would take a third of national supply, and talks having broken down over the capacity the government was asked to commit to lease. G42 had separately signed a March 2024 memorandum with Kenya's EcoCloud for a geothermal-powered data centre planned at 100 MW, in the presence of the President and the UAE ambassador.

The other Gulf position is in payments rather than infrastructure. M-Pesa Africa, the Safaricom–Vodacom joint venture, agreed in January 2026 to work with Abu Dhabi's ADI Foundation on deploying a layer-2 network across its eight markets and introducing stablecoin transactions, beginning with a dirham-backed stablecoin regulated by the UAE central bank.

India activities

India's presence in Kenya is a partnership and a building: Kenya, India and Italy signed a letter of intent for a trilateral sovereign AI partnership at the AI Impact Summit in New Delhi in February 2026, targeting 100 AI-deployment programmes by 2030 built on multilingual low-bandwidth voice AI with data sovereignty and local control, delivered through EkStep, Kenya's Directorate of Digital Economy and Italy's enterprise ministry with UNDP, under the G7 AI Hub and the Mattei Plan. Separately, Airtel Africa's data-centre arm Nxtra broke ground in 2025 on a facility at Tatu City, a special economic zone outside Nairobi, to be built in two phases and to operate from the first quarter of 2027.

Digital sovereignty

Kenya's state bodies are to leave their own server rooms: implementation guidelines for the 2025 Cloud Policy prohibit entities from hosting systems in server rooms or dedicated data centres without the Cloud Adoption Committee's authorisation, give them 24 months to migrate to a single accredited provider, and require top-secret data to be held in a data centre in Kenya, restricted data with a provider present locally and open data with an accredited provider anywhere (August 2026).

The payment front door shows what funding a system and controlling it can mean apart. The eCitizen agreement with a consortium led by Webmasters Kenya, running 2023 to 2026, entitles the suppliers on termination to uninstall all their proprietary infrastructure and software, and the Auditor-General's special audit found the government may not have full control of the platform, a single point of failure through vendor dependency (March 2026). Draft Treasury regulations would have the National Treasury host, administer and maintain it (May 2026).

Control of other core systems is being settled in court. On 15 September 2026 the High Court declared the sale of 15 per cent of Safaricom to Vodacom void and restored the shares to the government, and it ordered the electoral commission to give accredited parties and observers access to the source code and audit logs of continuous voter registration, its technology contractor having declined access to source code on intellectual-property grounds (September 2026).

On AI, Kenya's joint declaration with Anthropic, signed on 22 September 2026, places any programme involving data access under Kenyan law on data protection, cybersecurity and public-sector requirements, and UNDP and the Technopolis Development Authority agreed to operationalise sovereign AI infrastructure at the Konza data centre (September 2026). The terms on which the August 2026 AWS agreement for an Outpost at Konza and the Guodong memorandum on cloud and computing infrastructure there govern data jurisdiction, portability and exit had not been published as at September 2026.

ABOUT THIS DOCUMENT

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